

PRIVATE PLACEMENT MEMORANDUM

FND Partners LLC

Claudia (Clau) Leon

Capital Target

\$627,000 (100 Units @ \$6,270)

Date of Issue

April 2026

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This Private Placement Memorandum is confidential and has been prepared solely for informational purposes in connection with the proposed offering described herein.

This memorandum does not constitute an offer to sell or a solicitation of an offer to buy any security.

EXECUTIVE SUMMARY

Fund Overview

FND Partners LLC is a self-funded search fund formed by Claudia Leon to acquire and operate a single privately held business. The fund is targeting a capital raise of \$627,000 across 100 units at \$6,270 per unit. Claudia brings a unique combination of engineering operations, private equity deal experience, and an MBA from Harvard Business School.

Investment Thesis

The fund targets niche industrial services, environmental testing, and municipal compliance services companies with \$2M-\$10M EBITDA in the United States. These businesses exhibit recurring revenue, high barriers to entry due to regulatory requirements, and strong free cash flow characteristics that reward operational improvement.

Target Return

Searcher targets a minimum 3.0x gross MOIC and 25% gross IRR over a 5-7 year hold period, consistent with upper-quartile search fund returns.

SEARCHER BACKGROUND

Education

Claudia Leon holds an MBA from Harvard Business School (Class of 2025), an MS in Engineering from Georgia Tech, and a BS in Engineering from Rice University. She completed the HBS ETA course and a search fund internship during her MBA.

Professional Experience

Prior to HBS, Claudia worked at Baker Hughes in operational engineering roles for 4 years, managing field service teams across the Gulf Coast. She subsequently joined a lower-middle-market private equity firm as a deal professional, where she led two platform acquisitions in industrial services totaling \$85M in enterprise value.

Personal Background

Claudia is a first-generation college graduate of Cuban descent, raised in Miami, FL. She is fluent in Spanish and English. Her operational and deal background is uniquely suited to the industrial services sector she is targeting.

INVESTMENT CRITERIA

Target Sectors

Primary: Industrial services with regulatory compliance components (environmental testing, municipal water/air quality, NDT inspection, calibration services). Secondary: Facilities services with long-term government or institutional contracts.

Geography

Continental United States, with a preference for the Southeast and Gulf Coast where Claudia has existing relationships and operational familiarity.

Business Characteristics

Revenue of \$5M-\$25M, EBITDA margins of 15%-30%, recurring contract revenue of at least 60%, limited customer concentration (no single customer >25%), established team of 20+ employees, owner ready to transition.

Acquisition Price

Target TEV of \$10M-\$40M at 4x-7x EBITDA. Expects to use SBA 7(a) or conventional senior debt plus search fund equity to fund the acquisition.

FUND TERMS

Structure

FND Partners LLC is organized as a Delaware limited liability company. Claudia Leon serves as the sole managing member and will act as CEO post-acquisition.

Search Capital

Total search capital: \$627,000 across 100 units at \$6,270 per unit. Search capital will be used for 24 months of operating expenses including salary, travel, deal costs, and professional services.

Acquisition Rights

Search fund investors receive the right to participate in the acquisition financing on a pro-rata basis. Step-up: 1.5x on search capital converted to equity at acquisition.

Carry & Preferred Return

20% carried interest above an 8% preferred return. Carry vests over 4 years post-acquisition with a 1-year cliff.

RISK FACTORS

Key Person Risk

As a solo searcher, the fund is dependent on Claudia Leon. Illness, incapacity, or departure would materially impact the fund's ability to execute.

Search Risk

There is no guarantee that a suitable acquisition target will be identified within the 24-month search period. If no acquisition is made, search capital may be partially or fully lost.

Acquisition Financing Risk

Availability and terms of senior debt are subject to market conditions at the time of acquisition. Deterioration in credit markets could reduce leverage or increase cost of capital.

Operational Risk

Post-acquisition, the fund is reliant on Claudia's ability to manage a business in a sector where she has operational but not CEO-level experience. Operand Group will provide board support and advisory services.